LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Rental Yield Funding ?

Developed by www.loanbazaaronline.com

Executive Summary & Document Orientation

This comprehensive white paper and masterclass reference manual provides an authoritative, institutional-grade examination of **Rental Yield Funding (RYF)**—also known in Indian banking and capital markets as **Lease Rental Discounting (LRD)**. Designed specifically for corporate borrowers, commercial real estate developers, asset managers, institutional investors, and credit risk professionals, this manual covers the entire operational, structural, legal, regulatory, and financial landscape of monetizing future lease receivables in India.

Every concept, financial equation, underwriting ratio, legal covenant, and regulatory guideline presented in this document is grounded in Indian financial market practice, the **Reserve Bank of India (RBI) Directions**, the **Transfer of Property Act, 1882**, the **Companies Act, 2013**, the **Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002**, and the **Income Tax Act, 1961**. Reading this document in its entirety equips financial professionals, credit underwriters, and corporate CFOs with the complete knowledge required to master Rental Yield Funding structures and successfully pass institutional credit certification examinations.

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Tables of Contents

Modules	Page No.
Module 1: Product Overview & Core Fundamentals	**4**
Module 2: How the Product Structure Works & Debt Discounting Mechanics	**6**
Module 3: Comparative Capital Architecture Matrix	**8**
Module 4: Common Eligibility Criteria & Underwriting Scorecard	**10**
Module 5: Security Architecture, Documentation & Legal Covenants	**12**
Module 6: Indicative Tenure, Pricing Mechanics & Tax Shields	**15**
Module 7: Suitable Industries, Business Profiles & Market Alignment	**16**
Module 8: Key Advantages and Strategic Limitations	**17**
Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)	**18**
Module 10: Regulatory Compliance, RBI IRACP Norms & Default Framework	**21**
Module 11: Professional Certification Examination & Detailed Rationales	**23**

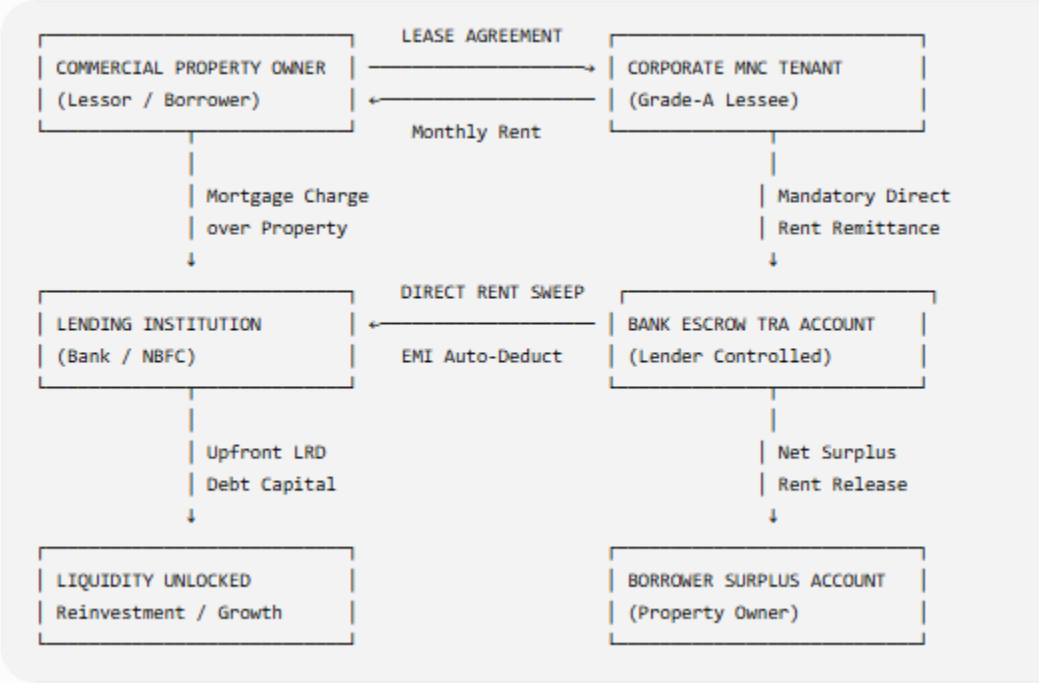
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Module 1: Product Overview & Core Fundamentals

1.1 Definition and Foundational Concept

Rental Yield Funding (RYF) is a specialized, asset-backed term credit facility structured by commercial banks, Non-Banking Financial Companies (NBFCs), and institutional private credit funds. It enables commercial real estate owners (Lessors) to monetize the Net Present Value (NPV) of their future, contractually locked-in lease rental cash flows from corporate tenants (Lessees) into an immediate, upfront, liquid capital disbursal.

Unlike un-leveraged property ownership, where capital remains locked in bricks and mortar while yielding only incremental monthly rental income, Rental Yield Funding bridges the gap between illiquid real estate equity and active corporate capital. By discounting future contractual rent streams over a 5-to-15-year horizon at an agreed institutional benchmark rate, the lending institution advances an upfront lump-sum loan directly to the property owner. The debt service (principal and interest Equated Monthly Installments - EMIs) is subsequently repaid directly by the corporate tenant through a mandatory, bank-controlled Escrow / Trust and Retention Account (TRA) mechanism.



1.2 Rental Yield vs. Capital Appreciation Economics

To understand Rental Yield Funding, a credit analyst must first distinguish between the two distinct return drivers of commercial real estate:

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1. **Gross Rental Yield (RY_{gross}):** The annualized gross rental income generated by a property expressed as a percentage of its total capital acquisition or market value.

extGrossRentalYield%=(racextAnnualGrossContractualRentINRextTotalPropertyMarketValueINRight)imes100

*In primary Indian commercial hubs (Mumbai BKC, Bengaluru ORR, NCR Cyber City, Pune Kharadi, Hyderabad HITEC City), commercial gross rental yields range between **7.50% and 9.50% p.a.** for Grade-A office spaces, and **8.00% to 10.50% p.a.** for industrial warehousing parks.*

2. **Net Rental Yield (RY_{net}):** The net operating income (NOI) generated after deducting property taxes, maintenance reserves, insurance, and property management fees, expressed against property market value.

extNetRentalYield%=(racextNetOperatingIncomeNOIextTotalPropertyMarketValueINRight)imes100

3. **Capital Appreciation Yield:** The annualized capital value growth of the underlying land and building structure driven by macro inflation, infrastructure development, micro-market supply constraints, and urban expansion.

Rental Yield Funding operates primarily on the **Net Operating Income (NOI)** and the **contractual creditworthiness of the lease agreement**, using the property's capital value as a secondary security fallback.

1.3 Structural Distinction: LRD / RYF vs. Standard LAP vs. Construction Finance

It is critical for finance professionals to differentiate Rental Yield Funding from other real estate credit products in India:

- **Rental Yield Funding (LRD) vs. Loan Against Property (LAP):** While LAP relies heavily on the borrower's independent business cash flows and standard property LTV (typically capped at 50% of market value), Rental Yield Funding is an **escrow-backed, cash-flow-discounting facility**. LRD credit decisions are driven by the tenant's credit rating, lease lock-in duration, and direct escrow sweeps, allowing higher leverage (up to 70%–80% of lease NPV) and lower interest rates (8.50%–11.50% p.a.) compared to LAP (10.50%–14.50% p.a.).
- **Rental Yield Funding (LRD) vs. Construction Finance (CF):** Construction Finance funds the development and construction stage of an unbuilt project, carrying high execution, approval, and sales risk. In contrast, Rental Yield Funding is exclusively granted against **fully constructed, occupied, income-generating Grade-A properties** holding valid Occupancy Certificates (OC

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Module 2: How the Product Structure Works & Debt Discounting Mechanics

2.1 The Tripartite Escrow Architecture

The foundation of Rental Yield Funding is the **Tripartite Escrow Mechanism**, established between three key stakeholders: 1. **The Borrower / Lessor:** The legal owner of the commercial property who receives the upfront LRD loan capital. 2. **The Corporate Lessee (Tenant):** The Grade-A corporate entity occupying the property under a registered Lease Agreement. 3. **The Lending Institution (Lender):** The bank or NBFC granting the LRD facility and controlling the Escrow TRA Account.

Under this structure, the Tenant signs an irrevocable **Notice of Assignment & Tripartite Agreement**, undertaking to remit 100% of the monthly lease rent directly into the designated Escrow TRA Account opened with the lending bank, without any set-off, withholding, or deduction.

2.2 Debt Discounting & Present Value (PV) Mathematics

The maximum loan quantum under Rental Yield Funding is calculated using the **Net Present Value (NPV)** of future contractual lease rents over the unexpired lease tenure or lock-in period. The Present Value (PV) of the monthly rental stream is computed using the lender's applicable discounting rate ($r_{monthly}$):

$$PV = \sum_{t=1}^{n} racR_{t}imes\left(1 - T_{tds}\right) - M_{t}\left(1 + r_{monthly}\right)^{t}$$

Where: * R_{t} = Gross Contractual Monthly Lease Rent in Month t (inclusive of pre-agreed escalation steps). * T_{tds} = Applicable Tax Deducted at Source (TDS) under Section 194I of the Income Tax Act (typically 10% for commercial rent). * M_{t} = Non-escalating property maintenance, property tax, and insurance outflows born by the Lessor. * $r_{monthly}$ = Monthly Discounting Rate = $rac{ ext{Annual LRD Interest Rate (%)}}{12 imes 100}$. * n = Total number of months in the unexpired lease tenure or lock-in period.

2.3 Capitalization Rate (Cap Rate) & Property Value Correlation

Lenders evaluate the property's overall market capitalization value (V_{prop}) using the **Capitalization Rate (Cap_Rate)** method:

$$V_{prop} = racextAnnualNetOperatingIncome(NOI)Cap_Rate$$

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For example, if a commercial property generates an Annual NOI of **₹21.60 Crores** and the prevailing market Cap Rate for Grade-A BKC commercial assets is **8.00% p.a.**, the appraised property value is:

$$V_{prop} = rac₹21,60,00,0000.08 = ₹270,00,00,000 \quad ext(₹270.00Crores)$$

2.4 Debt Service Coverage Ratio (DSCR) & Escrow Sweep Sizing

To insulate the lender against interest rate fluctuations, minor tenant deductions, or temporary maintenance spikes, lenders enforce a strict **Debt Service Coverage Ratio (DSCR)** requirement on the Escrow Account:

$$\text{extMonthlyDSCR=racextNetMonthlyEscrowRentReceivedINRextMonthlyLRDEMIPrincipal+Interest1.20xextto1.35x}$$

If the Net Monthly Escrow Rent is **₹1.80 Crores**, at a required DSCR of **1.25x**, the maximum permissible Monthly EMI is:

$$extMaxPermissibleMonthlyEMI = rac₹1.80extCrores1.25 = ₹1.44extCrores/month$$

Any monthly rent surplus remaining in the Escrow Account after deducting the ₹1.44 Crore EMI (i.e., ₹0.36 Crores) is automatically swept out to the borrower's current account.

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Module 3: Comparative Capital Architecture Matrix

To evaluate where Rental Yield Funding (Lease Rental Discounting) sits within the real estate capital stack, the following institutional comparative matrix details the key structural, operational, and pricing parameters across alternative real estate debt and equity instruments in India.

Capital Parameter	Rental Yield Funding (LRD / RYF)	Loan Against Property (LAP)	Senior Construction Finance (CF)	Mezzanine Real Estate Debt (AIF)	Commercial REIT Equity Units
Primary Underwriting Focus	Contractual Cash Flow & Lessee Credit Rating	Borrower Income & Collateral Value	Project Completion & Sales Velocity	Subordinated Cash Flow & Project IRR	Portfolio NOI & Occupancy Rates
Asset Stage Requirement	100% Completed, Occupied with Valid OC	Completed Residential / Commercial Asset	Under-Construction Greenfield Project	Land Assembly / Early Approvals	Completed, Income-Producing Assets
Maximum Permissible LTV	60%–80% of Net Present Value (NPV) of Rents	40%–50% of Real Estate Market Value	50%–65% of Total Project Cost (LTC)	60%–75% of Gross Development Value	Public Yield Instrument (No LTV Limit)
Indicative Interest / Return Rate	8.50%–11.50% p.a. (Bank Benchmark)	10.50%–14.50% p.a.	10.50%–13.50% p.a.	16.00%–22.00% p.a. Gross IRR	6.50%–8.50% Distribution Yield
Indicative Facility Tenure	5 to 15 Years (Matched	5 to 10 Years	3 to 5 Years (Moratori	2 to 4 Years	Permanent Listed

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Capital Parameter	Rental Yield Funding (LRD / RYF)	Loan Against Property (LAP)	Senior Construction Finance (CF)	Mezzanine Real Estate Debt (AIF)	Commercial REIT Equity Units
	to Lease Lock-in)		um Included)		Equity Units
Primary Cash Flow Source	Corporate Tenant Rent via Escrow TRA	Business Operational Cash Flows	Homebuyer / Commercial Customer Sweeps	Refinancing / Project Exit Proceeds	Diversified Property Portfolio NOI
Escrow Control Level	Mandatory Tripartite Escrow Sweep	Standard Direct Debit (NACH)	RERA 70:30 Statutory Escrow TRA	Priority Cash Sweep Escrow TRA	Corporate Trustee Escrow
Security / Charge Hierarchy	First Exclusive Charge on Land/Bldg & Rents	First Exclusive Charge on Property	First Exclusive Charge on Land & Asset	Second Charge / Mezzanine Share Pledge	Direct Property Title Ownership
Tax Deductibility Status	Fully Tax Deductible under Sec 24(b)/36(1)(iii)	Deductible if used for Business Purposes	Capitalized to WIP WIP under Ind AS 23	Tax Deductible Interest Expense	Tax-Exempt Dividend / Interest Pass-Through

Note: Data synthesized across Indian commercial banking market practices, RBI credit directions, and institutional private credit underwriting benchmarks.

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Module 4: Common Eligibility Criteria & Underwriting Scorecard

4.1 Property & Location Eligibility Profile

Lenders apply strict asset-quality filters before underwriting a Rental Yield Funding facility: * **Property Classification:** Grade-A Commercial Office Buildings, IT/ITeS Parks, Integrated Retail Malls, High-Street Retail Commercial Centers, and Grade-A Logistics & Warehousing Parks. * **Statutory Compliance:** 100% clear land title (verified via 30-year TSR), Municipal Sanctioned Building Plans, Occupation Certificate (OC), Building Completion Certificate (CC), Fire Safety Clearance, and Environmental Impact Approvals. * **Property Micro-Market:** Located in established commercial business districts (CBDs) or primary secondary business districts (SBDs) with high absorption rates, low structural vacancy (<10%), and prime connectivity.

4.2 Tenant Credit Profile & Lease Terms

The credit quality of the corporate tenant is the single most critical determinant of LRD pricing and leverage: * **Eligible Tenant Profiles:** Fortune 500 MNCs, Tier-1 BSE/NSE Listed Corporates, Scheduled Commercial Banks, Government / Public Sector Undertakings (PSUs), Large IT/SaaS Unicorns, and Established National Retail Chains. * **Lease Structure Requirements:** * **Tenure:** Registered Lease Agreement with an original tenure of 5 to 15 years. * **Unexpired Lock-in Period:** Active, unexpired lease lock-in period of at least 3 to 7 years remaining at the time of loan sanction. * **Escalation Clause:** Mandatory contractual rent escalation clause of **10% to 15% every 3 years** (or 3%–5% annually). * **Security Deposit:** Minimum 3 to 6 months of interest-free refundable security deposit held by the Lessor.

4.3 Borrower / Lessor Financial Criteria

- **CIBIL / Credit Score:** Minimum CIBIL Score of 720 for individual promoters; CIBIL Commercial Rank (CMR) between **CMR 1 and CMR 4** for corporate entities.
- **Debt Service Coverage Ratio (DSCR):** Projected Escrow DSCR $\geq 1.20x$ across the entire loan tenure.
- **Track Record:** Minimum 3 to 5 years of successful real estate management track record for corporate promoters.

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4.4 Institutional LRD Underwriting Scorecard (100-Point Framework)

Lenders evaluate LRD applications across five core risk dimensions:

1. TENANT CREDIT QUALITY	30%	AAA/AA MNC/PSU	→ 30
		A/BBB Corporate	→ 20
		Unrated/Local	→ 10
2. LEASE LOCK-IN	25%	> 5 Years	→ 25
		3–5 Years	→ 18
		< 3 Years	→ 10
3. DSCR & LTV COVERAGE	20%	≥1.30x / ≤55%	→ 20
		1.20–1.29x / 56–65%	→ 15
		1.15–1.19x / 66–75%	→ 08
4. PROPERTY & LOCATION	15%	Prime / Vacancy <5%	→ 15
		SBD/Hub / 5–10%	→ 10
		Fringe / >10%	→ 05
5. NET WORTH & CIBIL	10%	CMR 1–3 / NW >2x	→ 10
		CMR 4 / NW 1x–2x	→ 06
MAXIMUM SCORE = 100 POINTS			

Approval Benchmark: Minimum 70 Points required for standard bank sanction; Score ≥ 85 *unlocks prime interest rates (SOFR/MCLR + 1.50%).*

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Module 5: Security Architecture, Documentation & Legal Covenants

To achieve risk-weighted pricing and insulate the credit facility against tenant or borrower default, Rental Yield Funding requires a multi-layered security structure combining property mortgages, lease assignment, and bank escrow control.

5.1 Primary Collateral & Mortgage Creation

1. **Equitable Mortgage under Section 58(f) of Transfer of Property Act, 1882:**
    - Creation of a first exclusive charge by deposit of title deeds over the commercial land, building structure, fixtures, and underlying development rights.
    - Validated by a comprehensive **Title Search Report (TSR)** issued by an empanelled advocate covering 30 years of search, confirming clear, marketable, and unencumbered title.
2. **Absolute Assignment of Rent & Lease Receivables:**
    - Executed via a Deed of Assignment, legally transferring all current and future monthly lease receivables, maintenance recoveries, and parking charges directly to the lender.
3. **Power of Attorney (POA) for Lease Management:**
    - Irrevocable POA executed by the Lessor in favor of the lender, empowering the lender to re-lease the space, collect rents directly, or take physical possession in the event of default.

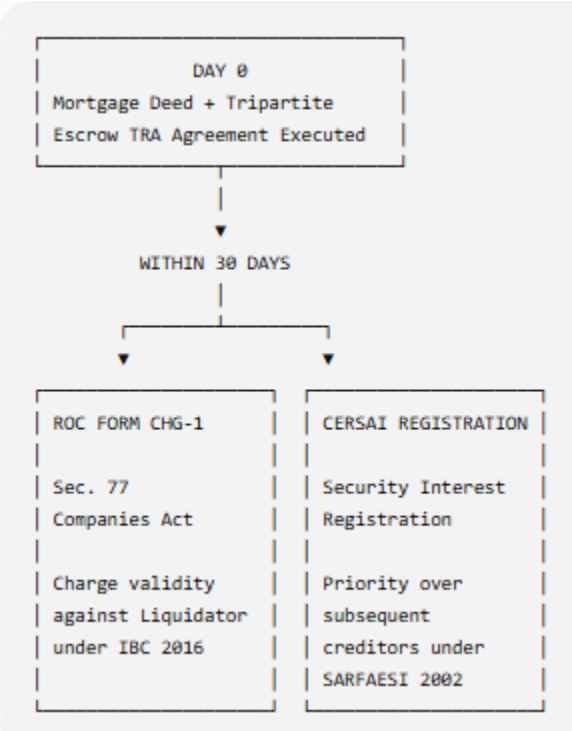
5.2 Mandatory Statutory & Regulatory Filings

To legally perfect the lender's charge against third-party claims, two statutory registrations are compulsory under Indian law:

1. **ROC Form CHG-1 Filing (Companies Act, 2013):**
    - Under **Section 77 of the Companies Act, 2013**, corporate borrowers must register the creation of charge with the Registrar of Companies (ROC) via **Form CHG-1 within 30 days** of mortgage creation. Failure to register within 30 days invalidates the charge against the liquidator in insolvency proceedings under the Insolvency and Bankruptcy Code (IBC), 2016.
2. **CERSAI Portal Registration:**

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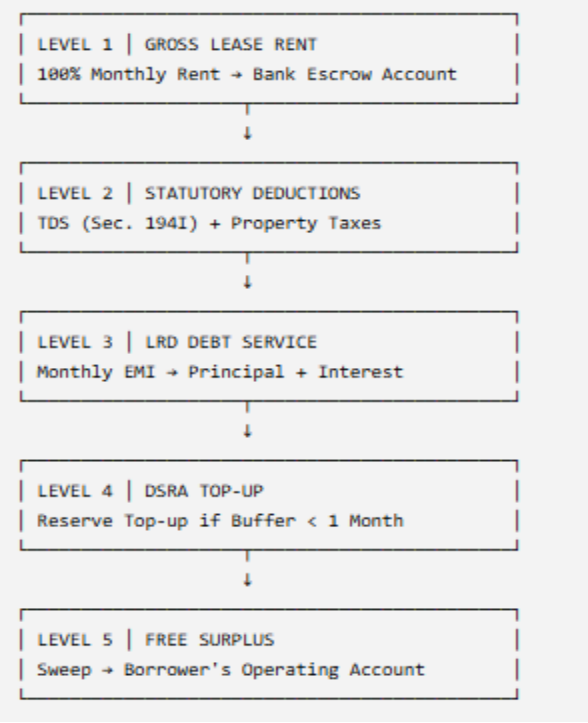
- Registration of security interest on the **Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI)** portal within 30 days under Chapter IV-A of the SARFAESI Act, 2002. CERSAI registration establishes priority of charge over all subsequent financial creditors.



5.3 Tripartite Agreement & Escrow Cash Flow Waterfall

The Tripartite Agreement executed between Lessor, Lessee, and Lender legally binds the Lessee to pay 100% of the rent into the Escrow TRA Account. The Escrow Account operates on a strict **Cash Flow Waterfall**:

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5.4 Key Legal Covenants

- **No Lease Modification / Cancellation Clause:** The borrower cannot amend, reduce, or terminate the lease deed or release the tenant without prior written consent from the lender.
- **Debt Service Reserve Account (DSRA):** Borrower maintains a 1 to 2 months EMI cash reserve held as a Lien-marked Fixed Deposit (FD) with the lending bank.
- **Insurance Assignment:** Property insurance policy against fire, earthquake, and structural damage with the lender named as **Sole Loss Payee (Hypothecation Clause)**.

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Module 6: Indicative Tenure, Pricing Mechanics & Tax Shields

6.1 Indicative Tenure Structure

- **Standard Facility Tenure: 5 to 15 Years** (typically 60 to 180 months).
- **Lease Matching Rule:** Facility tenure is strictly capped to the unexpired lease tenure or the remaining lock-in period plus formal renewal option clauses.
- **Amortization Structure:** Fully amortizing loan through Equated Monthly Installments (EMIs), structured so that the loan is 100% paid off before lease expiry.

6.2 Pricing Mechanics & Benchmark Spread

Rental Yield Funding rates are amongst the most competitive in commercial credit:

$$extLRDInterestRate(\%p.a.) = extLenderBenchmarkRate(MCLR/EBLR) + extRiskSpread$$

* **MNC / AAA Tenant Rate: 8.50% to 9.75% p.a.** (Benchmark + 0.50% to 1.50%). * **Tier-1 Listed Corporate Tenant Rate: 9.50% to 11.00% p.a.** * **Tier-2 / Mid-Corporate Tenant Rate: 11.00% to 12.50% p.a.**

6.3 Post-Tax Borrowing Yield & Income Tax Shields

A key commercial advantage of Rental Yield Funding is its ability to generate substantial **tax shields** under the Income Tax Act, 1961:

1. **Taxation of Rental Income (Section 22 to Section 24):** Gross rental income is taxable under the head *"Income from House Property"*.

$$extNetAnnualValue(NAV) = extGrossRentalIncome - extMunicipalTaxesPaid$$

$$\text{extTaxableHousePropertyIncome=extNAV−extSection24aStandard30\%Deduction−extSection24bInterestPaid}$$

2. **Section 24(b) Interest Tax Shield:** Under **Section 24(b)**, 100% of the interest paid on the LRD loan used to acquire, construct, or repair commercial real estate is deductible from rental income without any upper limit.

$$extTaxShieldSavings(INR) = extAnnualLRDInterestPaid(INR) imes extCorporateTaxRate(\%)$$

At a **25.168% corporate tax rate** (Section 115BAA), every ₹1.00 Crore of LRD interest paid saves **₹25.17 Lakhs** in corporate income tax, reducing the effective post-tax borrowing yield:

$$extEffectivePost - TaxRate(\%) = extPre - TaxLRDInterestRate(\%) imes\left(1 - T_{corp}\right)$$

For an LRD loan at **9.50% p.a. pre-tax**, the effective post-tax interest rate is:

$$extEffectivePost - TaxRate = 9.50\% imes(1 - 0.25168) = 7.11\% extp.a.$$

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Module 7: Suitable Industries, Business Profiles & Market Alignment

Rental Yield Funding is ideally suited for asset owners, developers, and corporate entities seeking non-dilutive, long-term capital by monetizing institutional real estate holdings across diverse sectors.

7.1 Key Target Verticals & Business Profiles

1. **Commercial Real Estate Developers & Asset Management Companies:**
    - Developers holding completed Grade-A office towers, tech parks, or retail malls leased to MNCs. LRD unlocks capital to fund land acquisition or new construction projects without selling prime yield-generating assets.
2. **Retail Mall Operators & High-Street Retail Owners:**
    - Commercial property owners with long-term leases signed with anchor supermarket chains, multiplexes, or luxury fashion brands.
3. **Warehousing & Logistics Park Developers (3PL & E-commerce Hubs):**
    - Grade-A warehousing assets leased to logistics giants (DHL, Maersk) or e-commerce platforms (Amazon, Flipkart). LRD funds network expansion across industrial corridors.
4. **Healthcare & Educational Infrastructure Owners:**
    - Hospital buildings leased to healthcare networks (Apollo, Fortis) or campus properties leased to international schools.
5. **Corporate Conglomerates Holding Surplus Real Estate:**
    - Non-real-estate corporates holding prime commercial headquarters or IT towers leased to third-party firms, utilizing LRD capital for core business expansion.

7.2 National Commercial Credit Alignment

According to RBI credit data and commercial banking reports, commercial real estate and trade-linked borrowers represent over **44% of active commercial credit borrowers** in the ₹10 Lakh to ₹2 Crore and mid-corporate credit segments. Platforms such as State Bank of India's digital trade systems (**e-DFS at ₹49,261 Crores** and **e-VFS at ₹28,092 Crores**) highlight the massive scale of cash-flow-backed institutional financing across India's commercial ecosystem.

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Module 8: Key Advantages and Strategic Limitations

8.1 Key Advantages

1. **Large Capital Unlocking Without Asset Sale:** Unlocks up to 70%–80% of the present value of future rentals as an immediate lump sum while retaining 100% equity ownership and long-term capital appreciation rights.
2. **Competitive Low-Cost Borrowing Rates:** LRD rates (8.50%–11.50% p.a.) are significantly lower than unsecured business debt (16%–24% p.a.) or standard LAP (11%–14% p.a.), driven by tenant credit quality and escrow controls.
3. **Structured Self-Servicing Cash Flows:** Debt servicing is automated via tenant escrow deposits, eliminating monthly operational repayment stress for the borrower.
4. **Powerful Income Tax Shield:** 100% of LRD interest paid is tax-deductible under Section 24(b) / 36(1)(iii), reducing effective post-tax borrowing costs to 6.50%–8.50% p.a.
5. **Non-Dilutive Growth Capital:** Enables developers to fund new high-yield projects without diluting promoter equity or taking expensive mezzanine debt.

8.2 Strategic Limitations & Risk Factors

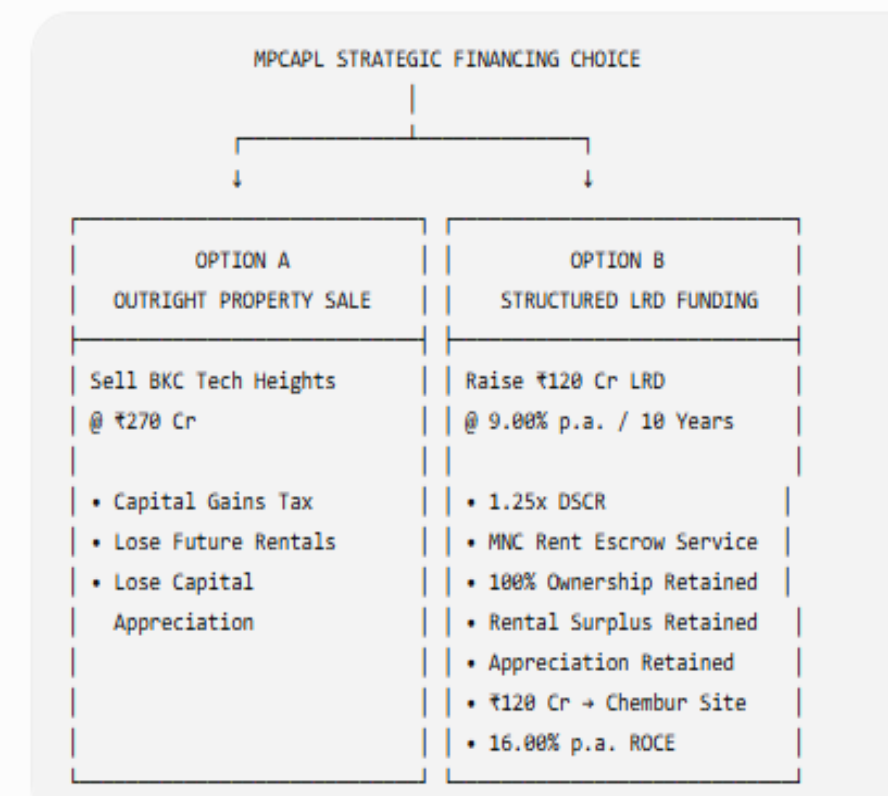
1. **Tenant Vacancy / Exit Risk:** If a tenant terminates the lease early or defaults upon lock-in expiry, the borrower remains legally liable to service the monthly LRD EMI.
2. **Interest Rate Volatility:** LRD loans are structured on floating benchmark rates (EBLR/MCLR). Rate increases can squeeze the escrow DSCR cushion.
3. **Escrow Lock-In & Restricted Surplus:** Borrowers lose direct control over rental receipts, as all funds must pass through the bank-monitored Escrow TRA Account.
4. **Concentration Risk:** Heavy dependence on a single anchor tenant can lead to loan acceleration or DSRA cash sweeps if the tenant's credit rating is downgraded.

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Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)

9.1 Case Profile & Structural Dilemma

- **Borrower Entity:** *Mumbai Prime Commercial Assets Pvt. Ltd. (MPCAPL)*, a commercial real estate holding company in Bandra-Kurla Complex (BKC), Mumbai.
- **Underlying Asset:** A 150,000 sq. ft. carpet area Grade-A Commercial Office Building (*"BKC Tech Heights"*), fully constructed with a valid Occupation Certificate (OC).
- **Anchor Tenant:** A Fortune 500 MNC Technology Corporation (*"Global Tech India Pvt. Ltd."*, AAA Credit Rated).
- **Lease Terms:** 10-Year registered lease with 5 years remaining in the lock-in period. Contractual rent is **₹120 / sq. ft. / month**, yielding a Gross Monthly Rent of **₹1.80 Crores** (₹21.60 Crores annually), with a **12.5% rent escalation every 3 years**.
- **Appraised Property Market Value (8.0% Cap Rate): ₹270.00 Crores**.
- **Capital Requirement:** MPCAPL requires **₹120.00 Crores** in liquid capital to acquire a prime redevelopment site in Chembur, Mumbai.



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9.2 Mathematical Modeling & Comparative Analysis

Option A: Outright Property Sale Economics

1. Gross Sale Consideration: **₹270.00 Crores**.
2. Less Original Indexed Cost of Acquisition: **₹150.00 Crores**.
3. Long-Term Capital Gain (LTCG): ₹270.00 Cr - ₹150.00 Cr = **₹120.00 Crores**.
4. Applicable LTCG Tax Rate (20% + Surcharge/Cess = 23.92%): **₹28.70 Crores**.
5. Net Cash Realized from Sale: ₹270.00 Cr - ₹28.70 Cr = **₹241.30 Crores**.
6. **Loss of Asset & Rental Income:** Borrower permanently forfeits the 10-year rental stream (**₹216.00+ Crores**) and future property appreciation (estimated at 6% p.a. = **₹483.50 Crores in Year 10**).

Option B: Structured Rental Yield Funding (LRD) Model

1. **LRD Loan Sanction Quantum: ₹120.00 Crores** (44.4% LTV on Property Value; 72% LTV on Lease NPV).
2. **Loan Pricing & Tenure: 9.00% p.a. floating interest rate** over a **10-Year Amortization Tenure (120 Months)**.
3. **Monthly Debt Servicing (EMI Calculation):**

$$EMI = Pimes[racrimes(1 + r)^{n}(1 + r)^{n} - 1ight]$$

Where $P = ₹120,00,00,000, r = rac0.0912 = 0.0075, n = 120.$

EMI=₹120,00,00,000imes[rac0.0075imes1.00751201.0075120−1ight]=₹1,52,00,915ext/month ext₹1.52Crores/month

extAnnualPre−TaxLRDDebtServicingOutflow=₹1.5201extCrimes12=₹18.24extCrores/year

4. **Escrow Cash Flow & DSCR Verification:**
   - Gross Monthly MNC Tenant Rent: **₹1.80 Crores**.
   - Less TDS under Sec 194I (10%): **₹0.18 Crores**.
   - Net Monthly Escrow Receipt: **₹1.62 Crores**.
   - Monthly LRD EMI Outflow: **₹1.52 Crores**.
   - **Monthly Escrow Cash Surplus Swept to Borrower:** ₹1.62 Cr - ₹1.52 Cr = **+₹0.10 Crores / month (₹1.20 Crores / year)**.
   - **Escrow DSCR:** $rac{₹1.62 ext{ Cr}}{1.52 ext{ Cr}} = $ (with escalation steps increasing DSCR to **1.28x** in Year 4).

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5. **Income Tax Shield Benefits (Section 24(b)):**
   - Year-1 Pre-Tax LRD Interest Paid: **₹10.53 Crores**.
   - Income Tax Shield Savings @ 25.168% Corporate Tax Rate:

$$extTaxShieldSavings = ₹10.53 extCroresimes 0.25168 = ₹2.65 extCrores/year$$

   - Net 10-Year Cumulative Post-Tax Interest Servicing Cost: **₹46.68 Crores** (reduced from ₹62.41 Crores pre-tax).
   - **Effective Post-Tax LRD Interest Rate:**
     $9.00\% imes (1 - 0.25168) = 6.73\% extp.a.$
6. **Reinvestment Profits Earned on Unlocked Capital:**
   - MPCAPL deploys the **₹120.00 Crores LRD capital** into acquiring the Chembur redevelopment site, generating an **Annual Return on Capital Employed (ROCE) of 16.00% p.a.**
   - Annual Pre-Tax Reinvestment Profit: ₹120.00 Cr $ imes 0.16$ = **₹19.20 Crores / year**.
   - Net 10-Year Post-Tax Reinvestment Income Earned: **₹143.68 Crores**.

9.3 Total Strategic Financial Wealth Surplus

Comparing the 10-year wealth position of Option A vs. Option B:

extOptionANetPosition=extNetCashRealized+extReinvestment=₹241.30extCr+extYield=₹412.50extCrores

extOptionBNetPosition=extRetainedPropertyValueYr10+extNetReinvestmentSurplus+extAccumulatedEscrowRents−extRepaidLoan

extOptionBNetPosition=₹483.50extCr+₹143.68extCr+₹18.50extCr−₹120.00extCr=₹525.68extCrores

extNETSTRATEGICWEALTHSURPLUSOPTIONBvsOPTIONA=+₹113.18CRORES

By selecting **Rental Yield Funding (Option B)**, MPCAPL generates a massive **₹113.18 Crores in net strategic wealth surplus** over an outright sale, retains full ownership of its ₹483.50 Crore BKC asset, slashes its effective post-tax borrowing yield to 6.73% p.a., and successfully expands into Chembur!

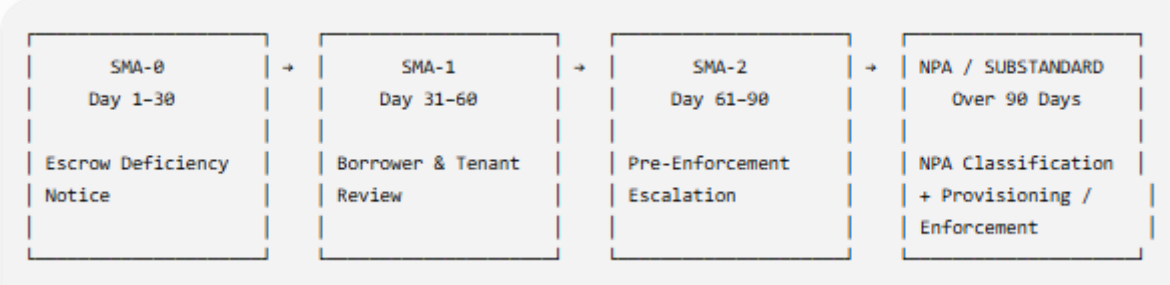
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Module 10: Regulatory Compliance, RBI IRACP Norms & Default Framework

10.1 RBI Income Recognition, Asset Classification and Provisioning (IRACP) Norms

Rental Yield Funding facilities are subject to strict RBI prudential regulations governing credit risk and default classification:

1. **Delinquency Clock & SMA Classification:** If the monthly rental deposit into the Escrow Account is insufficient or delayed, the LRD loan is flagged under RBI's Special Mention Account (SMA) framework:
   - **SMA-0:** Overdue 1 to 30 days.
   - **SMA-1:** Overdue 31 to 60 days.
   - **SMA-2:** Overdue 61 to 90 days.
   - **Non-Performing Asset (NPA):** Overdue exceeding **90 days**.
2. **90-Day Escrow Shortfall Default Rule:** If the tenant fails to pay rent or defaults on lease obligations resulting in an escrow EMI shortfall exceeding 90 days, the entire LRD facility is classified as a Substandard NPA, triggering mandatory **15% loan loss provisioning** by the bank.



10.2 Legal Enforcement & Recovery Pathways

In the event of default by either the Borrower or the Corporate Tenant, the lending institution exercises three powerful enforcement mechanisms under Indian law:

1. **SARFAESI Act, 2002 Enforcement (Section 13):**
   - **Section 13(2) Demand Notice:** Issued to the borrower giving 60 days to clear all outstanding dues.

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- **Section 13(4) Physical Possession & Receiver Appointment:** After 60 days, the bank takes physical possession of the mortgaged commercial property, appoints an Official Receiver to collect rents directly, or auctions the asset to recover outstanding principal, interest, and enforcement costs.

2. **Section 138 Negotiable Instruments Act, 1881 / Section 25 PSSA 2007:**
   - Dishonor of security post-dated cheques (PDCs) or NACH auto-debit mandates triggers criminal prosecution against the corporate directors under Section 138, punishable by imprisonment up to 2 years or fines up to double the cheque amount.
3. **Execution of Lease Power of Attorney (POA):**
   - The lender enforces its registered POA to directly terminate the defaulting tenant, re-lease the Grade-A office space to a new corporate tenant, and redirect the new lease rents into the Escrow Account.

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Module 11: Professional Certification Examination & Detailed Rationales

This examination tests core concepts, underwriting ratios, legal frameworks, and financial mechanics of Rental Yield Funding (Lease Rental Discounting) in India. Candidates must achieve a minimum score of 70% to pass.

Question 1

What is the primary underwriting basis for sizing a Rental Yield Funding (Lease Rental Discounting) facility in India? A) The replacement cost of the building structure minus physical depreciation.
B) The Net Present Value (NPV) of future contractual lease rents discounted at the lender's interest rate, backed by tenant creditworthiness and an escrow sweep.
C) The borrower's personal income tax returns (ITR) averaged over the past 3 years.
D) The liquidation value of the borrower's equity share portfolio.

Correct Answer: B
Detailed Rationale: Rental Yield Funding is a cash-flow-discounting credit facility. The primary underwriting parameter is the Net Present Value (NPV) of future, contractually locked-in lease rentals from a corporate tenant, discounted at the LRD interest rate, supported by a mandatory Escrow / TRA account sweep mechanism.

Question 2

Under Section 77 of the Companies Act, 2013, within how many days must a corporate borrower register the mortgage charge created for an LRD facility with the Registrar of Companies (ROC) via Form CHG-1? A) 15 Days
B) 30 Days
C) 60 Days
D) 90 Days

Correct Answer: B
Detailed Rationale: Section 77 of the Companies Act, 2013 mandates that every charge created by a company on its property or assets must be registered with the ROC via Form CHG-1 within 30 days of creation. Failure to register within 30 days invalidates the charge against the liquidator in insolvency proceedings under the IBC, 2016.

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Question 3

A commercial property generates a Net Operating Income (NOI) of ₹18.00 Crores annually. If the prevailing market Capitalization Rate (Cap Rate) for Grade-A office space in the micro-market is 9.00% p.a., what is the appraised property value? A) ₹162.00 Crores
B) ₹200.00 Crores
C) ₹225.00 Crores
D) ₹250.00 Crores

Correct Answer: B
Detailed Rationale: Using the Capitalization Rate valuation formula:

$$ext{PropertyValue} = rac{ext{Annual NOI}}{ext{Cap Rate}} = rac{₹18,00,00,000}{0.09} = ₹200,00,00,000 \quad ext{or} \quad ₹200.00 ext{ Crores}$$

Question 4

How does interest paid on a Rental Yield Funding (LRD) loan benefit a corporate borrower under the Income Tax Act, 1961? A) It is subject to a 50% penalty surcharge under Section 115JB.
B) It is 100% tax-deductible against rental income under Section 24(b) / 36(1)(iii), creating an interest tax shield that reduces the effective post-tax borrowing yield.
C) It cannot be claimed as an expense and must be added back to book profits.
D) It provides a direct 100% tax credit against GST liabilities.

Correct Answer: B
Detailed Rationale: Interest paid on an LRD loan is fully tax-deductible under Section 24(b) (for Income from House Property) or Section 36(1)(iii) (for business income), creating an interest tax shield. At a 25.168% corporate tax rate, this reduces the effective post-tax borrowing yield to $ ext{Pre-Tax Rate} imes (1 - 0.25168)$.

Question 5

What is the minimum Debt Service Coverage Ratio (DSCR) typically required by commercial banks on the Escrow TRA Account for an LRD facility? A) 0.80x
B) 1.00x
C) 1.20x to 1.35x
D) 2.50x

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Correct Answer: C
Detailed Rationale: Lenders mandate a minimum Escrow DSCR of 1.20x to 1.35x, ensuring that the net monthly lease rent deposited into the Escrow Account exceeds the monthly LRD EMI by 20% to 35%, providing a cash flow cushion for maintenance or tax deductions.

Question 6

Under Section 58(f) of the Transfer of Property Act, 1882, how is an Equitable Mortgage created over a commercial property? A) By executing a public land sale deed in favor of the bank.
B) By delivering and depositing the original title deeds of the property with the lender in a notified town with the intent to create security thereon.
C) By publishing a newspaper notice in three local languages.
D) By issuing a convertible corporate bond.

Correct Answer: B
Detailed Rationale: Section 58(f) of the Transfer of Property Act, 1882 defines an Equitable Mortgage (Mortgage by Deposit of Title Deeds), which is created when the property owner delivers original title documents to the creditor or their agent in a town notified by the State Government, with intent to create security.

Question 7

What happens to an LRD loan facility under RBI IRACP norms if the Escrow Account experiences a rent deposit shortfall resulting in an unpaid EMI exceeding 90 days? A) The loan tenure is automatically doubled without penalty.
B) The loan is classified as a Substandard Non-Performing Asset (NPA), requiring 15% loan loss provisioning and enabling SARFAESI Section 13 enforcement.
C) The bank forgives the interest portion and charges zero fees.
D) The corporate tenant is automatically liquidated.

Correct Answer: B
Detailed Rationale: Under RBI prudential IRACP norms, any credit facility where principal or interest remains overdue for a period exceeding 90 days must be classified as a Non-Performing Asset (Substandard category), requiring 15% provisioning and enabling statutory enforcement under SARFAESI Act 2002.

Question 8

Why do lenders insist on an unexpired lease lock-in period when underwriting Rental Yield Funding? A) Because lock-in clauses prevent the tenant from vacating or reducing rent without legal penalty, securing cash flow stability during the critical loan repayment window.

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B) Because lock-in clauses guarantee 100% exemption from GST.
C) Because lock-in clauses eliminate the need for ROC charge registration.
D) Because lock-in clauses allow the lender to double the interest rate every month.

Correct Answer: A
Detailed Rationale: Lease lock-in clauses legally bind the tenant to pay rent for the agreed lock-in duration without early termination rights, insulating the lender and borrower against sudden vacancy risk and securing debt service continuity.

Question 9

Under Section 194I of the Income Tax Act, what is the standard rate of Tax Deducted at Source (TDS) applicable on commercial lease rent payments made by a corporate tenant? A) 2%
B) 5%
C) 10%
D) 20%

Correct Answer: C
Detailed Rationale: Section 194I of the Income Tax Act, 1961 mandates that corporate lessees deducting tax at source on commercial lease rent payments must deduct TDS at the rate of 10% on payments exceeding statutory thresholds.

Question 10

If an LRD facility has a pre-tax interest rate of 10.00% p.a. and the corporate borrower is taxed under Section 115BAA at an effective rate of 25.168%, what is the borrower's effective post-tax borrowing yield? A) 10.00% p.a.
B) 8.50% p.a.
C) 7.48% p.a.
D) 6.25% p.a.

Correct Answer: C
Detailed Rationale: The effective post-tax borrowing yield is calculated as:

$$ ext{Effective Post-Tax Rate} = ext{Pre-Tax Rate} imes (1 - T_{corp}) = 10.00\% imes (1 - 0.25168) = \mathbf{7.4832\% \quad (pprox 7.48\% ext{ p.a.})}$$

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